

LA AI Core chips work on different levels to optimize efficiency.

Q Gaming is a big draw and the growth engine for laptops globally particularly in markets like India. Lenovo has been innovating with its newer line-up of LOQ range that targets the entry-level market as well as the Legion 9 and 7 series that is made for the high-end/enthusiasts' market. However, Lenovo is still not the leader when it comes to the Gaming laptop market in India. How do you plan to change this?

A Gaming is a significant segment, constituting around 18% of the overall consumer PC market, with a notable surge from low single digits pre-COVID. The allure of gaming is not just about entertainment; it's a high-revenue sector, particularly given the substantial Average Unit Revenue (AUR) associated with gaming products. At Lenovo, we're strategically positioned to capitalize on this trend. Our comprehensive portfolio includes the Lenovo LOQ range tailored for entry-level gamers, the Lenovo Legion series catering to avid gamers, and the Lenovo Legion Pro series designed for esports enthusiasts. Additionally, our flagship Legion 9i targets the high-end/enthusiast market.

Our approach goes beyond merely offering gaming laptops; we're committed to building an ecosystem around gaming. By providing a full range of products, including PCs, laptops, and accessories, we establish ourselves as an ecosystem player, offering a holistic gaming experience to our customers.

To further solidify our position, we are leveraging market insights to enhance our offerings, building strategic business relationships with all key offline and online channel partners, and engaging with gamers effectively. Through continuous innovation, strategic partnerships, and customer-centric initiatives, we are determined to strengthen our position in the gaming laptop market in India in the very near future."

Q Coming back to AI and Generative AI specifically, it is changing what one expects from a laptop. There are two schools of thought, Generative AI on the edge (where AI baked into the hardware and software comes in) and Generative AI services on the cloud, where a subscription model takes care of the hardware computing and also the software/interface layer. How do you see this panning out? Besides data privacy concerns, is there any other major advantage of Edge-AI in comparison to Cloud-based AI, which appears very scalable from costs and capability POV?

A At Lenovo, we believe AI will play a big role in the future of personal computing to create a future of AI for all. In fact, we've already made significant strides in harnessing AI's potential across Lenovo's diverse portfolio from the pocket to the cloud, as a trusted tech partner to consumers and businesses. To meet the needs of new generative AI workloads, the traditional PC will transform itself into an AI PC, where a disruptive hybrid blend of client, edge and cloud technologies, deliver enhanced functionality, speed, creativity and immersive, realistic experiences that are personalized for you, and controlled by you – the end-user – with better security and privacy protection.

In addition to better privacy and security, bringing AI workloads from the cloud to the client (AI PC) improves performance by removing the need to go back and forth to the cloud over the network. It also lowers the cost that way, which is part of our vision to democratize smarter technology like AI for all.

Q At CES 2024, we saw a lot of traditional tech companies get into Electric Vehicles, Digital cockpits, and related tech solutions, in a bid to conquer the rapidly evolving in-car tech space. Is Lenovo looking to move towards Auto Tech?

A We are always looking to bring innovation prowess to new spaces. Our Lenovo Vehicle Computing team unveiled a Smart Cockpit, Advanced

Driver Assistance Systems (ADAS), and Autonomous Systems powered by NVIDIA DRIVE Thor last year. This year at CES, we showcased multi-level autonomous driving domain controllers and solutions to improve the comfort and safety of the driving experience by applying generative AI and foundation model technology to in-car intelligence. This LLM-based smart assistant application we demoed runs independently of the vehicle, including digital human simulation and interaction, 3D question-and-answer instructional support, and intelligent accident handling guidance. Vehicle computing is certainly a space our broader team is starting in the China market first, with plans to go beyond.

Q What are Lenovo's plans for getting into the AR/VR/MR space? There seems to be a lot more innovation and excitement in AR/VR/MR markets, given the entry of some big brands like Apple, which are known to create new categories and markets.

A While I can't talk about future plans that are as yet unannounced, I can shed some light on Lenovo's innovations in the enterprise XR space.

Lenovo's ThinkReality commercial AR/VR solutions were launched with the mission – To make it easier than ever to build, deploy and manage enterprise XR solutions at scale. Lenovo ThinkReality is the only XR industry leader that Builds and offers enterprise solutions for both AR and VR. We believe they are distinct technologies with unique use case. These solutions are the ThinkReality A3 and ThinkReality VRX.

Both are enterprise solutions. When it comes to business, XR is not a game, and there is not a 'one size fits all solution'. Porting consumer solutions to the enterprise space creates potential for security and privacy risks, as well as other issues. With ThinkReality, we are dedicated to building an open Metaverse. The dominance of propriety hardware and software ecosystems, or 'walled gardens', undermines innovation for XR developers of all kinds and diminishes user value. **Ed**